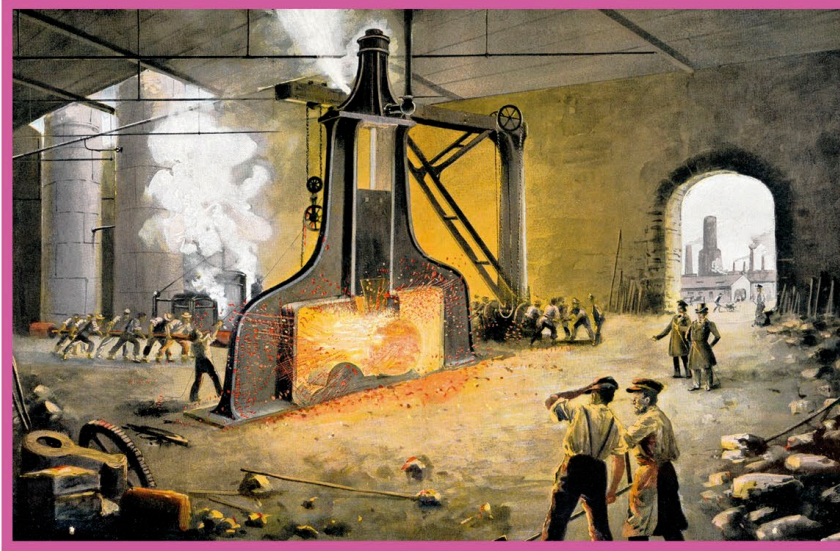




newspapers. The law did not have the intended effect, however, as the SAP still won nine seats in the Reichstag (the German parliament) in the July 1878 election, giving it a continued voice in national affairs.

To neutralize the popularity of the socialists, Bismarck decided to champion some radical workers' protection legislation. In 1881, he put forward the Workers' Accident Insurance scheme. This obliged industrial employers to contribute to a private insurance scheme that would pay out to workers in the event of factory accidents. The policy was based on the socialist ideal of worker protection, although Bismarck refuted this, preferring to focus on the economic benefits of increased productivity from a healthy and obedient workforce.

A system of welfare

At first, there was opposition to the scheme in the Reichstag, but, after winning an election in October 1881, Bismarck was able to return to the program. In doing so, he would make Germany the first country to create a national workers' welfare system.

In 1883, the first piece of legislation was passed. The Health Insurance Act stated that both employers and employees should subscribe to "sickness funds," which provided those injured at work with sick pay and the costs of medical treatment for up to 13 weeks. The employer paid one-third of the fund costs; the employees two-thirds. Contributions to the scheme and benefits paid were based on levels of income.

The Accident Insurance Act, which followed in 1884, covered injured workers beyond 13 weeks. The new funds were financed entirely by employers, and workers no longer had to prove the liability of the company. Instead, a compulsory insurance scheme covered all employment-related injuries. At first, only workers in mines, shipyards, and manufacturing industries could benefit, but between 1885 and 1901, this was expanded to other areas of employment, including agriculture, transportation, and the military.

The welfare policy was promoted as being of benefit to the German economy, in that it supported a healthy and productive workforce, but it also conferred the economic

The power unleashed by the steam hammer, invented by Scottish engineer James Nasmyth in 1838, increased output but also made conditions much more dangerous for industrial workers.

advantage of reducing levels of emigration. Fewer Germans now wanted to move to places like the US, because at home they enjoyed greater protection from their state-mandated health insurance.

Other nations follow suit

The German system of workers' protection was widely admired and seen as a positive social reform. Between 1897 and 1907, a number of European countries, including Austria, Sweden, and France, enacted similar laws.

In Britain, the growing number of work-based accidents led to calls from workmen's associations for a change in the law to protect employees. The result was the 1880 Employers' Liability Act, which entitled industrial manual workers to compensation for an accident caused by the negligence of a nonmanual supervisor. However, the worker still had to prove who was responsible for the injury, which complicated any claims.

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Those who are disabled from work by age and invalidity have a well-grounded claim to care from the state.

Wilhelm I

German emperor (1871–1888)

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